

MERIDIAN TRUST & ASSET SERVICING, N.A.

Office of the Chief Fiduciary Officer

REF-FID-003

Defined Terms

Fiduciary, Custody, and Asset Servicing

Document number	REF-FID-003
Version	4.0
Classification	Internal
Document owner	Chief Fiduciary Officer
Effective	Current cycle
Review cycle	Annual
Approved by	Fiduciary Risk Committee

Contents

Document Control	1
Fiduciary capacity and authority	1
Beneficiary interests and the impartiality duty	
Annual review and recordkeeping	2
Custody and asset-servicing operations	3
Governance bodies	4

Document Control

Document number	REF-FID-003
Document type	Reference — defined terms
Maintained jointly with	Model Risk Management
Cross-references	Policy MRM-014 · Standard STD-AI-002 · Fiduciary Operations Manual FOM-01
Binding effect	Terms defined here are binding on the interpretation of STD-AI-002

This reference defines terms used across the Bank's fiduciary policies, AI use-case registrations, and validation reports. Where a term carries a specific legal meaning, the governing authority is cited. Terms are binding on the interpretation of STD-AI-002.

Fiduciary capacity and authority

Discretionary fiduciary capacity — the Bank exercises independent legal judgment over asset management, security selection, retention, or distribution, pursuant to 12 CFR Part 9. The duties of prudence, loyalty, and impartiality attach in full. An AI system supporting a discretionary activity is **Tier 1 irrespective of computed score** (STD-AI-002 § 5).

Directed fiduciary capacity — the Bank acts on the explicit instruction of an external party: an independent investment adviser, an investment committee, or a named plan fiduciary under ERISA § 403(a)(1). The Bank's duty is narrowed to confirming that the instruction conforms to the governing instrument and to applicable law. Discretion is *not* exercised, and the impartiality duty does not attach to the investment decision itself.

Registration note. The discretionary / directed distinction is the single most consequential field on an AI use-case intake form. Mis-registering a discretionary system as directed understates its tier, its validation requirement, and its examination exposure. Where capacity is ambiguous, it is resolved by the Office of the Chief Fiduciary Officer, not by the system owner.

Agency / custodial capacity — the Bank holds and services assets without investment discretion and without fiduciary duty under Part 9. Settlement, safekeeping, corporate-action processing, and depository reconciliation are agency functions.

Qualified custodian — a regulated institution meeting the criteria at SEC Rule 206(4)-2(d)(6), maintaining client funds and securities in segregated accounts.

Beneficiary interests and the impartiality duty

Income beneficiary — the party entitled to the current accounting yield of a trust: dividends, interest, and other receipts allocated to income under the governing instrument and applicable principal-and-income act.

Remainderman — the party holding legal title to trust principal upon termination of the preceding estate. The remainderman's interest is in the *preservation and growth of principal*, and is therefore structurally opposed to the income beneficiary's interest in current yield.

Duty of impartiality — where a trust has two or more beneficiaries, the trustee must act impartially in investing and managing trust assets, taking into account the differing interests of the beneficiaries (Uniform Prudent Investor Act § 6; Restatement (Third) of Trusts §§ 79, 183). The duty is *not* a duty of equal treatment; it is a duty of even-handed consideration of competing legitimate interests.

Why this governs AI systems. An optimisation objective that maximises current yield is, in a trust with successive interests, an objective that transfers value from the remainderman to the income beneficiary. A model can breach the duty of impartiality without any individual output being wrong, because the breach lives in the aggregate tendency rather than in the single recommendation. This is why STD-AI-002 control 4 requires an **empirical evaluation of differential outcomes** in a fiduciary context and does not accept content filtering as a substitute.

HEMS standard — the health, education, maintenance, and support standard governing discretionary distributions in most personal trust instruments. HEMS defines the legally enforceable boundary for invasion of principal. A distribution outside HEMS, where HEMS is the operative standard, is a breach of trust regardless of the reasonableness of the purpose.

Surcharge action — a judicial proceeding brought by beneficiaries to hold a trustee personally liable for losses resulting from breach of trust, negligence, or failure to observe the duties of prudence or impartiality.

Spendthrift provision — a clause restraining a beneficiary's ability to alienate their interest and restraining creditor access, frequently accompanied by restrictions on the purposes for which principal may be invaded.

Annual review and recordkeeping

Annual investment review (12 CFR § 9.6(c)) — the mandatory yearly review of **all** assets of each fiduciary account for which the Bank holds investment discretion, evaluating each asset individually and the portfolio collectively for appropriateness to the account's purpose. Manual, automated, and hybrid approaches are permitted, provided the review reaches the entire portfolio — including unique and hard-to-value holdings — and provided exceptions are tracked and adjudicated by a human fiduciary.

Fiduciary records (12 CFR § 9.8) — documentation adequate to demonstrate the establishment, administration, and termination of each account, retained for not less than three years after account closure. Where an automated system contributes to a fiduciary determination, the record must permit reconstruction of how that contribution was produced.

Unique and hard-to-value assets — real estate, mineral and timber interests, closely held business interests, and similar holdings requiring specialised valuation and, in defined cases, physical inspection. These assets are the most common source of silent omission in automated portfolio review.

Custody and asset-servicing operations

SWIFT MT564 / MT568 — structured corporate action notification (MT564) and free-text narrative description of a corporate reorganisation (MT568).

SWIFT MT548 — settlement status and processing advice, conveying failed allocations, depository discrepancies, and counterparty allegements. Status qualifiers identify the failure reason, for example `:24B::PENF//LACK` for insufficient securities.

SWIFT MT542 — deliver-free instruction, used among other purposes to transmit an amended settlement instruction after a fail has been researched and corrected.

Standing settlement instruction (SSI) — the authorised counterparty delivery details held in the Bank's SSI directory. An amendment to an SSI is a controlled change; it is never inferred from message content.

Depository position reconciliation — the daily matching of internal book-entry positions against records held at DTCC, Euroclear, Clearstream, and the Federal Reserve Banks.

Short-Term Investment Fund (STIF) — a collective investment fund administered under 12 CFR § 9.18(b)(4)(iii) maintaining a stable \$1.00 net asset value through amortised cost accounting, subject to daily mark-to-market shadow pricing to detect deviation.

Fails-to-deliver / fails-to-receive — trades unsettled at the contractual settlement date, tracked as a proportion of gross settlement volume.

Governance bodies

Body	Chair	Remit
Board Risk Committee (BRC)	Independent director	Approves policy; final approver for Tier 1 production release
Model Risk Committee (MRC)	Head of Model Risk Management	Validations, tiering, remediation for systems in scope of MRM-014
Fiduciary Risk Committee (FRC)	Chief Fiduciary Officer	12 CFR Part 9 and ERISA compliance; impartiality disputes; surcharge exposure
Trust Investment Committee (TIC)	Chief Investment Officer, Trust	Approved lists, IPS standards, oversight of § 9.6(c) reviews
AI Systems Governance Sub-Committee (AISGC)	Joint 1LOD / 2LOD	Administers STD-AI-002; use-case intake, AIBOMs, guardrail audits

SYNTHETIC DEMONSTRATION DOCUMENT. Meridian Trust & Asset Servicing, N.A. is a fictional institution. This reference was authored for a SAS product demonstration and is not the documentation of any real institution.